

#	Case Name	Tentative
3	30-2020-01148828 Tran vs. Zenith Manufacturing Inc.	Demurrer to Complaint Defendant Modern Fittings, Inc.'s (MFI) Demurrer to Plaintiffs' Complaint is SUSTAINED with leave to amend. Defendant's Request for Judicial Notice of Secretary of State records showing it was incorporated on 2/3/20 is GRANTED. Plaintiffs filed the Complaint on 6/19/20. Plaintiffs filed a fictitious name amendment on 4/26/23 identifying MFI as "Doe 2." The Complaint does not allege any specific facts against Doe 2, other than general allegations that Does 1-50 were responsible for the conduct of the named Co-Defendants. (¶ 4.) MFI contends it cannot be liable for the wrongful termination of Plaintiffs in 2019 because it was not incorporated until 2020, and that Plaintiffs have failed to allege a basis for successor liability against it. Plaintiffs have not alleged facts supporting MFI's liability in the Complaint. The fictitious name amendment process under Code of Civil Procedure section 474 does not allow Plaintiffs to avoid the requirement to plead facts supporting each element of their claims against the fictitiously named Defendant. (See <i>Williams v. Sacramento River Cats Baseball Club, LLC</i> (2019) 40 Cal.App.5th 280, 286 [plaintiff must allege facts sufficient to establish every element of causes of action against defendant].) Here, the Complaint does not explain the relationship between MFI, its Co-Defendants, or Plaintiff in a manner that would allow MFI to defend itself against Plaintiff's claims or allow the Court to evaluate the merits of those claims. Therefore, the demurrer is sustained with leave to amend. Plaintiffs shall file and serve their amended complaint within 15 days of service of this order.
4	30-2022-01261142 Daverson vs. Buccola	1. Demurrer to Amended Complaint KELLY SHAWN GWIN'S DEMURRER TO THE SECOND AMENDED COMPLAINT Defendant Kelly Shawn Gwin's Demurrer to the Second Amended Complaint is SUSTAINED. Defendant's Request for Judicial Notice is GRANTED.

“A demurrer tests the legal sufficiency of the factual allegations in a complaint.” (*Redfearn v. Trader Joe’s Co.* (2018) 20 Cal. App. 5th 989, 996.) The Court must determine “whether the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (*Id.*) The Court assumes “the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (*Id.*) “A demurrer must dispose of an entire cause of action to be sustained.” (*Fremont Indem. Co. v. Fremont Gen. Corp.* (2007) 148 Cal. App. 4th 97, 119.)

First Cause of Action – Financial Elder Abuse

Gwin argues that Court should sustain the demurer to the first cause of action for financial elder abuse brought by Trudy because it is a sham cause of action.

The sham pleading doctrine is described in *Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408:

“Under the sham pleading doctrine, plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. (See *Hendy v. Losse* (1991) 54 Cal.3d 723, 742-743, 1 Cal.Rptr.2d 43, 819 P.2d 1 [affirming an order sustaining defendants’ demurrer without leave to amend when the plaintiff filed an amended complaint omitting harmful allegations from the original unverified complaint] see also *Colapinto v. County of Riverside* (1991) 230 Cal.App.3d 147, 151, 281 Cal.Rptr. 191 (*Colapinto*) [“If a party files an amended complaint and attempts to avoid the defects of the original complaint by either omitting facts which made the previous complaint defective or by adding facts inconsistent with those of previous pleadings, the court may take judicial notice of prior pleadings and may disregard any inconsistent allegations.”].) A noted commentator has explained, “Allegations in the original pleading that rendered it vulnerable to demurrer or other attack cannot simply be omitted without explanation in the amended pleading. The policy against sham pleadings requires the pleader to *explain* satisfactorily any such omission.” (Weil &

Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2005) ¶ 6.708.)

(Id. at 425.)

Here, Plaintiffs' allegations in the FAC were based on the premise that Gwin wrongly terminated Trudy's investment by repaying the First Loan in full on 2-19-21. (See FAC, ¶¶ 45, 69, 73, 86.) Plaintiffs claimed that Trudy was owed \$15,000.00, or twelve months of "[i]nterest on loans at \$1,250 per month[.]" (Id., ¶ 86.) Plaintiffs conceded that the "[p]rincipal outstanding on loans of \$600k" was no more than \$229,080.00. (Id., ¶ 86.)

In the SAC, Plaintiffs now allege that Defendants committed fraud for the purpose of "keeping Trudy's original loan of \$300,000 to Kelly unpaid." (SAC, ¶ 111.) Plaintiffs claim that "[n]one of the principal funds of the original loan of \$300,000 have been repaid[.]" (Id., ¶ 76.) Plaintiffs demand the entire principal sum of \$300,000.00 on the First Loan, plus interest. (Id., ¶ 78.) Plaintiffs now demand their attorneys' fees and costs pursuant to the Promissory Note. (SAC, p. 27, Prayer for Relief, ¶ 4.)

In Opposition, Plaintiffs explain the contradiction in the pleadings by claiming that documents produced in discovery show that Gwin's intention in making the \$368,420 payment to Trudy was for repayment of the second loan provided for the Costa Mesa home and not the first loan. Previously, Plaintiffs were not sure what Gwin was paying back with his \$368,420 check to Trudy. Plaintiffs were under the impression that this check was to go toward payback of the first loan plus the monthly interest owed on that loan. (SAC, ¶ 58.)

Plaintiffs' argument is disregarded for two reasons. First, Plaintiffs' submission of documents produced in discovery cannot be considered on demurrer. A demurrer can be used only to challenge defects that appear on the face of the pleadings under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) No extrinsic evidence can be considered. (*Ion Equipment Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881.) Therefore, Plaintiffs exhibits filed in opposition to the demurrer will not be considered.

Second, the new allegations in the SAC simply do not make sense. If Trudy was uncertain whether the check for \$368,420

was for the First or Second Loan, she should have plead such facts in the Complaint or FAC. She did not. Now, after the Court ruled on the demurrer to the FAC, Trudy seems to have remembered the following:

- **Trudy understood this check for \$368,420 to be repayment of the second loan** she made to Kelly on November 2, 2020, to help fund Shannan’s new home, given the memorandum that said, “Shannan pay back.” (SAC, ¶ 58.)
- After the sale of the Louise Home in March 2021, Gwin verbally told her that Trudy would be paid back her total outstanding balance **on the first loan** of \$300,000 in about a month. (SAC, ¶¶ 63, 64.)
- On April 2, 2021, Trudy wrote Gwin a text, “**again asking for repayment of the first loan.**” (SAC, ¶ 65.)

These facts do not appear to have been revealed as the result of discovery but are facts/memories possessed by Trudy. She provides no plausible explanation why she failed to include such allegations in the FAC, and instead pleads contradictory allegations that the check was payment for the First Loan. (See FAC, ¶¶ 69, 73)

Furthermore, the SAC states that Gwin obtained the First Loan from Trudy on 11-2-20, but this is not true. (SAC, ¶ 72.) According to the SAC, Gwin took or obtained the First Loan over two years earlier on 5-6-18. (SAC, ¶ 40.) This conflicting fact, coupled with the change of facts that now the First Loan was never paid, calls into question the validity or accuracy of Plaintiffs’ claims.

Accordingly, the Court **SUSTAINS** the demurrer on the grounds of sham pleading, but grants **Plaintiffs one more opportunity to amend their complaint to explain the discrepancies.**

Third Cause of Action – Fraud

False Representations

The common law elements of fraud which give rise to the tort action for deceit are: (1) misrepresentation of a material fact, consisting of false representation, concealment or nondisclosure; (2) knowledge of falsity; (3) intent to deceive and induce reliance; (4) justifiable reliance on the misrepresentation; and

(5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445.) Reliance exists when the misrepresentation of nondisclosure was an immediate cause of the plaintiff's conduct which altered his or her legal relations, and when without such misrepresentation or nondisclosure he or she would not, in all reasonable probability, have entered into the contract or other transaction. (Id. (internal citations omitted).)

It is well-established that “[e]very element of the cause of action for fraud must be alleged in the proper manner and the facts constituting fraud must be alleged with sufficient specificity to allow Defendant to understand fully nature of the charges made.” (*Stanfield v. Starkey* (1990) 220 Cal.App.3d 59, 73 (internal citations omitted).) This particularity requirement necessitates pleading *facts* which show how, when, where, to whom, and by what means the representations were tendered. (Id. (internal citations and quotation marks omitted).)

Plaintiffs allege Gwin represented that the original \$300,000 would remain available at the end of each year for full repayment to Trudy or for rollover into another loan/investment. (SAC, ¶ 113.) Plaintiffs also now allege that Gwin represented to them that the Costa Mesa Home was in good condition and did not need any major repairs. (SAC, ¶ 114.) These representations were allegedly not true.

As previously ruled on the demurrer to the FAC, Plaintiffs fail to allege specific facts as to how Gwin made the representations, when Gwin made the representations, where Gwin made the representations, and by what means Gwin made the representations.

False Concealment

Shannan claims that Defendants concealed from her that \$600,000 of the cost of the Costa Mesa Home originated from loans to Gwin from her mother Trudy. Had she known the truth she would not have moved from the Louise Home. But Shannan seems to have known that some funds were from her mother. As alleged previously in the FAC, Gwin told Shannan to tell the bankers that \$250,000 was supplied as a “gift” from Trudy towards the Costa Mesa Home. (FAC, ¶ 41.) Furthermore, Trudy knew that \$600,000 of her money would be used toward the purchase of the Costa Mesa Home. (FAC, ¶ 36.)

“[T]he question in a nondisclosure case is whether the defendant knows of material facts, and also knows that those facts are neither known nor readily accessible to the plaintiff.” (*See Vega v. Jones, Day, Reavis & Pogue* (2004) 121 Cal.App.4th 282, 295.) Plaintiffs provide no explanation why it was material that \$600,000 versus \$250,000 of Trudy’s money was used toward the purchase of the Costa Mesa House. As alleged previously in the FAC, Gwin told Shannan to tell the bankers that \$250,000 was a gift from Trudy for the purchase of the Costa Mesa Home. Trudy also knew that \$600,000 of her money would be used toward the purchase of the Costa Mesa Home. (FAC, ¶ 36.)

Moreover, there are no allegations that Gwin was aware that Shannan was ignorant of the facts, given that she could have simply asked her mother who was aware how the \$600,000 was to be used.

False Promises

Plaintiffs also allege that Gwin and Dennis made false promises to Trudy that Trudy’s original \$300,000 loan would be paid back in full. (SAC, ¶¶ 134, 135.) Plaintiffs further allege that Gwin made promises to Shannan that the Costa Mesa Home was safe. (SAC, ¶ 136.)

The elements of a promissory fraud cause of action, include: “(1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the promisee; [and] (5) nonperformance by the party making the promise[.]” (*Gruber v. Gruber* (2020) 48 Cal.App.5th 529, 540.)

Here, Plaintiffs do not allege that Gwin lacked an intent to pay back the First Loan at the time it was made, nor that he did not intend to pay back the loan as stated. And now that Plaintiffs assert Gwin paid the Second Loan, there can be no fraud with respect to that loan.

Furthermore, Plaintiffs fail to allege that Gwin promised to do anything with respect to the Costa Mesa Property. The only alleged false promises relate to the condition of the property itself, but Gwin never promised he would fix the property or otherwise engage in any affirmative act.

	For all the foregoing reasons, the demurrer to the fraud cause of action is SUSTAINED with leave to amend. Fourth Cause of Action - Breach of Contract In light of the Court’s ruling on the first cause of action, Plaintiffs are granted the opportunity to amend the Complaint to address the inconsistencies between the FAC and the SAC regarding whether Gwin failed to pay the First Loan or the Second Loan. Therefore, the Court SUSTAINS the demurrer to the fourth cause of action with leave to amend. Plaintiffs have 20 days leave to amend. Moving party to give notice. 2. Demurrer to Amended Complaint DENNIS BUCCOLA’S DEMURRER TO THE SECOND AMENDED COMPLAINT Defendant Dennis Buccola’s Demurrer to the Second Amended Complaint is SUSTAINED. Defendant’s Request for Judicial Notice is GRANTED. “A demurrer tests the legal sufficiency of the factual allegations in a complaint.” (<i>Redfearn v. Trader Joe’s Co.</i> (2018) 20 Cal. App. 5th 989, 996.) The Court must determine “whether the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (<i>Id.</i>) The Court assumes “the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (<i>Id.</i>) “A demurrer must dispose of an entire cause of action to be sustained.” (<i>Fremont Indem. Co. v. Fremont Gen. Corp.</i> (2007) 148 Cal. App. 4th 97, 119.) Claims Brought by Shannan Against Dennis On May 17, 2023, the Court ruled that it does not have jurisdiction over Plaintiff Shannan Buccola’s claims against Defendants Dennis Buccola and MSSK Ventures, LLC and sustained the demurrer to the FAC in its entirety as to those claims asserted by Shannon. (ROA 191.) The Court found as
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follows: “Based on the allegations in the FAC as described above, the substance of the FAC as brought by Plaintiff—Shannan Buccola is a family law case brought in civil court especially when Plaintiff—Shannan Buccola initiated the family law case. (RJN, Exhibit 1.). This court does not have jurisdiction over Plaintiff—Shannan Buccola’s claims against Defendants—Dennis Buccola and MSSK Ventures, LLC. Therefore, the court SUSTAINS the Demurrer in its entirety as brought against the causes of action asserted by Plaintiff—Shannan Buccola.”

Shannan continues to pursue in the SAC claims against Dennis for breach of fiduciary duty and fraud.

Breach of Fiduciary Duty

Regarding the breach of fiduciary duty claim, the court based its ruling in part on the damages claims in paragraph 94 of the FAC, which states that Shannon suffered damages based on the sale of the property located at 1656 Louise Street, Laguna Beach (“Louise Home”), and that such was within the scope of the Judgment. In her SAC Shannan has attempted to avoid this ruling by now claiming that her damages on this cause of action arise only from the “financing and legal ownership of the Costa Mesa Home.” (SAC, ¶ 107.) This change is questionable and ineffective.

First, the SAC notes that Dennis purchased the Louise Home for Shannan pursuant to the divorce agreement. (SAC, ¶ 13.) Due to monetary/legal trouble, Dennis informed Shannan that he had to sell the Louise Home and would purchase a new home for Shannan. (SAC ¶¶ 14, 17.) Dennis was in fact listed as a buyer of the Costa Mesa property along with Shannan in the escrow documents. (SAC, ¶ 90.) Thus, the claims involving the Costa Mesa Home arise from the Judgment.

Second, the FAC alleged that Dennis engaged in wrongdoing “concerning the proceeds from the sale of the Louis Home and the financing and legal ownership of the Costa Mesa Home.” (FAC, p. 17, l. 24). Thus, claims based on the Costa Mesa home were also included in the FAC. Nevertheless, the court sustained Dennis’s demurrer.

Third, there are no allegations that Dennis owed a fiduciary duty to Shannan. The SAC only states that “Kelly and DOES 1-50, inclusive, owed Shannan a fiduciary duty and obligation of good faith, fair dealing, loyalty, due care, reasonable inquiry,

	oversight and supervision as her real estate agent.” (SAC, ¶ 105.) Although the SAC asserts that “a fiduciary duty imposes on a real estate agent, its corporate officers and partners, and thus, Dennis, a duty to act with the utmost good faith,” there are no allegations that Dennis was a real estate agent, or a corporate officer or partner of Gwin or any real estate agency or brokerage involved in the transaction. (SAC, ¶ 106.) Fourth, claims arising from both properties arise from the Judgment’s complete disposition of all of Dennis’s and Shannan’s real and personal property assets, and thus remain the exclusive jurisdiction of the Family Court. Accordingly, the demurrer to the breach of fiduciary duty claim brought by Shannan and against Dennis is SUSTAINED without leave to amend. Fraud The Court previously sustained the demurrer to Shannan’s fraud claims on the grounds that it lacked jurisdiction. (ROA 191.) The court based its ruling on the exclusive jurisdiction of the family court established by the Judgment. It cited language in the FAC stating, “[t]he representations made by Kelly . . . were made . . . for purpose breaching [sic] the divorce agreement to keep Shannon housed and cared for.” (Id.) Shannan has now deleted this language from the SAC. But it is of no consequence. All of the allegations emanate from disputes over the parties’ real or personal property assets, which were made the exclusive subject of the family law court in the Judgment. Accordingly, the Court SUSTAINS the demurrer as to Shannan’s claims for fraud against Dennis without leave to amend. Claims Brought by Trudy Against Dennis Financial Elder Abuse Trudy alleges a cause of action against Dennis based on financial elder abuse. However, Trudy does not allege she had communications or interactions with Dennis. Trudy attempts to cure this defect by alleging that Gwin was acting as Dennis’ agent when Gwin engaged in various alleged wrongdoings.
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The Court previously rejected this argument. In sustaining the demurrer to the FAC, the court’s notice of ruling (ROI 191) noted Civil Code sections 2330, which holds that a principal’s liability can only arise from acts of an agent acting within the scope of authority, “which would accrue to the agent from transactions within such limit.” It ruled that, “[t]he FAC does not sufficiently allege that Dennis employed Gwin as his agent to obtain the \$600,000 on behalf of Defendant—Dennis Buccola. (FAC, ¶¶ 67, 68, 69, and 70.) Therefore, the allegations in the FAC are insufficient to allege financial elder abuse based on an agency liability theory against Defendant—Dennis Buccola.”

Trudy clarifies that she does not hold Dennis responsible for obtaining the entire \$600,000. Rather, Dennis’ liability to her started when Gwin, as Dennis’ agent, converted the first loan of \$300,000 to go toward the payment for the Costa Mesa Home. Such allegations, however, are insufficient to cure the defects noted above.

Plaintiffs cite to *D’Acquisto v. Evola* (1949) 90 Cal.App.2d 210, 213 for the proposition that an agency must rest upon an agreement, and that emails and text evidence that Gwin is Dennis’ agent. The Court, however, cannot consider such evidence on demurrer. A demurrer can be used only to challenge defects that appear on the face of the pleadings under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) No extrinsic evidence can be considered. (*Ion Equipment Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881.) Therefore, Plaintiffs exhibits filed in opposition to the demurrer will not be considered.

Nonetheless, Plaintiff could have plead the substance of such an agreement, yet they did not. There are no facts alleged that suggest Gwin was Dennis’ employee. Using a real estate agent to assist you with the sale of a property is not the same as employing someone as a real estate agent.

Furthermore, despite the conflicting claims of whether the First Loan or Second Loan was paid, the SAC alleges that Trudy “is owed \$600,000 in principal for two loans she made to Kelly at \$300,000 each.” (SAC, ¶ 57.) There is no allegation that Gwin was borrowing the funds on behalf of Dennis or anyone else. In fact, Plaintiffs allege that Trudy had been investing funds with Gwin via promissory notes since at least 2014. (SAC, ¶ 39.)

“Trudy had always trusted Kelly with respect to these investments/loans, and Kelly had always paid back the loans/investments as agreed.” (Id.) There is no allegation that Dennis was involved in these transactions or that Gwin was acting on his behalf when he borrowed the funds from Trudy. Such facts negate any finding of agency.

Accordingly, Trudy cannot state a claim for financial elder abuse against Dennis and the demurrer to this cause of action is **SUSTAINED with leave to amend.**

Fraud Claim

The sixth cause of action of the FAC alleged fraud by Dennis against Trudy.

The common law elements of fraud which give rise to the tort action for deceit are: (1) misrepresentation of a material fact, consisting of false representation, concealment or nondisclosure; (2) knowledge of falsity; (3) intent to deceive and induce reliance; (4) justifiable reliance on the misrepresentation; and (5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445.) Reliance exists when the misrepresentation of nondisclosure was an immediate cause of the plaintiff’s conduct which altered his or her legal relations, and when without such misrepresentation or nondisclosure he or she would not, in all reasonable probability, have entered into the contract or other transaction. (Id. (internal citations omitted).)

It is well-established that “[e]very element of the cause of action for fraud must be alleged in the proper manner and the facts constituting fraud must be alleged with sufficient specificity to allow Defendant to understand fully nature of the charges made.” (*Stanfield v. Starkey* (1990) 220 Cal.App.3d 59, 73 (internal citations omitted).) This particularity requirement necessitates pleading *facts* which show how, when, where, to whom, and by what means the representations were tendered. (Id. (internal citations and quotation marks omitted).)

Plaintiffs do not allege that Dennis personally made any misrepresentations or promises to him. Rather, they argue that Gwin, as an agent of Dennis, made misrepresentations to them. As stated above, Plaintiffs have failed to adequately plead the existence of an agency relationship between Gwin and Dennis.

		Yet even assuming an agency relationship was alleged, Plaintiffs have again failed to plead fraud with specificity. Plaintiffs do not allege specific facts as to how Gwin made the representations, when Gwin made the representations, where Gwin made the representations, and by what means Gwin made the representations that constitute the alleged fraud. Therefore, the Court SUSTAINS the demurrer to Trudy's fraud claim against Dennis with leave to amend. Plaintiff Trudy Daverso has 20 days leave to amend. Moving party to give notice.
6	30-2020-01126552 Dovan vs. LA Fitness International, LLC	Plaintiffs Christine and Bao Dovan's motion for leave to file a First Amended Complaint is DENIED WITHOUT PREJUDICE TO RE-FILE. Code of Civil Procedure section 473, subdivision (a) permits a court to allow an amendment to any pleading. "A motion to amend a pleading before trial must: (1) Include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and (3) State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located." (Rules of Court, rule 3.1324(a).) A court has broad discretion to determine a motion to amend pleadings. (Code Civ. Proc., § 473, subd. (a)(1).) The decision on a motion for leave to amend is entrusted to the sound discretion of the court. (Branick v. Downey Savings & Loan Assn. (2006) 39 Cal.4th 235, 242.) Plaintiffs seek leave to file a FAC to add substantial factual allegations, a cause of action for gross negligence, and punitive damages claim. Given the procedural posture of the case, the motion for leave to amend is DENIED WITHOUT PREJUDICE TO RE-FILE for the following reasons: One, gross negligence is not a stand-alone cause of action and the proposed FAC is defective